

STANDBY CREDITOR'S AGREEMENT

Modeled on the structure of SBA Form 155. This is a synthetic document, not an SBA form.

SBA Loan Number:	PLP 7A-2026-184-0931 (synthetic)
Lender:	Harbor Federal Bank, 400 Harbor Street, Chicago, Illinois 60606
Borrower:	Northgate Acquisition LLC, 1400 Prairie Center Drive, Suite 210, Rockford, Illinois 61108
Standby Creditor:	Ray Kowalski, 118 Birchwood Lane, Rockford, Illinois 61107
Standby Loans:	Seller Note A, \$120,000, dated July 15, 2026; Seller Note B, \$120,000, dated July 15, 2026
Amount of SBA Loan:	\$1,920,000

1. Standby. In consideration of Lender making the SBA Loan to Borrower, Standby Creditor agrees that the Standby Loans are subordinated to the SBA Loan and that Standby Creditor will not accept, and Borrower will not make, any payment of principal or interest on the Standby Loans except as expressly permitted in Section 2, until the SBA Loan has been paid in full.

2. Permitted Payments.

(a) *Seller Note A.* Full standby. No payments of principal or interest are permitted for the life of the SBA Loan. Interest may accrue.

(b) *Seller Note B.* No payments of principal or interest are permitted during the twenty-four (24) months following the date of this Agreement. Thereafter, Borrower may make the regularly scheduled monthly installments of principal and interest provided in Seller Note B, provided that no payment shall be made at any time when (i) Borrower is in default under the SBA Loan, (ii) Lender has given Borrower written notice that a payment would cause a default, or (iii) Borrower's debt service coverage ratio, measured on a trailing twelve month basis, is below 1.15 to 1.00.

3. No Enforcement. Standby Creditor will not demand, sue for, accelerate, or take any security for the Standby Loans, and will not commence or join any bankruptcy or similar proceeding against Borrower, while any part of the SBA Loan is outstanding, without Lender's prior written consent.

4. Payments Received in Error. Any payment received by Standby Creditor in violation of this Agreement shall be held in trust for Lender and promptly turned over to Lender for application to the SBA Loan.

5. Equity Injection. Standby Creditor acknowledges that Seller Note A is being counted as part of Borrower's equity injection for the SBA Loan and agrees that Seller Note A will remain on full standby for the life of the SBA Loan.

6. Legend. Standby Creditor shall mark each Standby Loan instrument with a legend stating that it is subject to this Agreement, and shall deliver the originals to Lender for retention until the SBA Loan is paid in full.

7. Modification. Neither the Standby Loans nor this Agreement may be modified without Lender's prior written consent.

8. Term. This Agreement remains in effect until the SBA Loan is paid in full and Lender has no further commitment to lend.

STANDBY CREDITOR:

By: /s/ Ray Kowalski

Name: Ray Kowalski

Title: Individually

BORROWER: Northgate Acquisition LLC

By: /s/ Dana Whitfield

Name: Dana Whitfield

Title: Managing Member

LENDER: Harbor Federal Bank

By: /s/ Priya Raman

Name: Priya Raman

Title: Vice President, SBA Lending